

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

vs.

FLEXPORT INTERNATIONAL LLC

RESPONDENT.

NON-PARTY ZIM INTEGRATED SHIPPING SERVICES LTD.'S MOTION TO QUASH

Zim Integrated Shipping Services Ltd. (“ZIM”) hereby moves to quash the subpoena served by Peloton Interactive, Inc. (“Peloton”) on March 6, 2025. In support of this motion, ZIM states the following:

BACKGROUND

Upon information and belief, Peloton contracted with Flexport International LLC (“Flexport”) to transport Peloton shipments from various origins to various U.S. destinations. On or about May 3, 2024, Peloton filed a complaint against Flexport at the Federal Maritime Commission (“FMC” or “Commission”), alleging that Flexport’s assessment of demurrage and detention on Peloton shipments violated the Shipping Act of 1984, as amended.

On or about March 6, 2025, the statutory agent of ZIM’s U.S. agent was served with an unsigned subpoena (the “Subpoena”) by Peloton, seeking (i) all documents reflecting non-privileged communications (internal and external) with Flexport in connection with Peloton

shipments and/or Demurrage and Detention charges in connection with Peloton shipments, including the movement of Peloton Shipments from January 1, 2020 to present; and (ii) all documents and records in connection with the Peloton Shipments, including all contracts for ocean transportation and/or contracts of affreightment, bills of lading and/or sea waybills, invoices, work orders, delivery orders, waiver or extension requests and responses, and payment records from January 1, 2020 to present. Subpoena at 7. The Subpoena provides a list of 656 relevant shipments as an Exhibit A.¹

LEGAL STANDARD

FMC Rule of Practice and Procedure 502.132(a) states:

Except when issued at a hearing, or in connection with taking a deposition, within ten (10) days after service of a subpoena for attendance of a witness or a subpoena for production of evidence, but in any event at or before the time specified in the subpoena for compliance therewith, the person to whom the subpoena is directed may, by motion with notice to the party requesting the subpoena, petition the presiding officer to quash or modify the subpoena.

See 46 C.F.R. § 502.132(a). Accordingly, ZIM's motion is timely filed.

FMC Rules do not specifically address whether a non-party may move to quash or modify a subpoena. When the FMC Rules do not specifically address an issue, 46 C.F.R. § 502.12 dictates that the Federal Rules of Civil Procedure control. Therefore, a non-party may move to quash or modify the subpoena pursuant to FRCP 45(d)(3) if the subpoena requires the person subject to the subpoena to disclose privileged or protected matter or subjects the person to undue burden. Under Rule 45, "[C]ourts have 'the discretion to limit discovery to prevent undue [burden] to third parties, even if the discovery [sought] is within the permissible scope of the

¹ A copy of the subpoena, with the dollar amounts redacted from Appendix A, is attached hereto.

[Rules]’”. *In re Non-Party Subpoena to Center for Study of Social Policy*, 659 F.Supp.3d 54, 58 (D.D.C. 2023).

Additionally, Federal Courts are “particularly reluctant to require a non-party to provide discovery that can be produced by a party,” and “if the party seeking information can easily obtain the same information without burdening the non-party, the court will quash the subpoena” because “a party’s ability to obtain documents from a source with which it is litigating is a good reason to forbid it from burdening a non-party with production of those same requests.” *See Amini Innovation Corp. v. McFerran Home Furnishings, Inc.*, 300 FRD 406, 409-10 (C.D. Cal. 2014) (quoting *Rocky Mountain Medical Management*, 2013 WL 6446704, at *4 (D. Idaho 2013); .”); *Brown v. City of Syracuse*, 648 F.Supp.2d 461, 466 (N.D.N.Y. 2009); *Arthrex, Inc. v. Parcus Medical, LLC*, 2011 WL 6415540, at *6 (S.D. Ind. 2011)). The FMC has also previously stated that it adheres to the principle that third parties cannot be required to provide information that is substantially similar to the kind of information that a party could locate itself. *See Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. Ocean Carrier Equipment Management Association Inc.*, Order on Complainant’s Motion to Compel, Docket No. 20-14, 2021 WL 2334223 at *3 (June 1, 2021).

ARGUMENT

I. The Subpoena Should be Quashed Because it is Overbroad and Unduly Burdensome

The Subpoena is overbroad and unduly burdensome. All or virtually all of the documents sought by the Subpoena can be easily obtained from Flexport, the party to the litigation in this matter.

The Subpoena seeks communications between ZIM and Flexport, all of which can be obtained from Flexport through the discovery process. The Subpoena seeks contracts for ocean transportation, bills of lading, invoices, work orders, delivery orders, waiver or extension request and responses, and payment records. All or virtually all of these documents, to the extent they may exist, should also be available from Flexport via the discovery process. There is no legitimate reason why ZIM, a non-party to this litigation, should be saddled with the burden and expense of producing this information when the information is already available to Peloton through other, more appropriate means.

In addition, the Subpoena seeks information on 656 Peloton shipments purportedly transported by ZIM for Flexport. Yet Peloton's complaint in this proceeding does not identify the number of shipments at issue or the amount of allegedly unlawful demurrage or detention assessed by Flexport. Therefore, there is no way to know if all, some, or any of the 656 shipments for which Peloton seeks virtually all documents from a non-party are the subject of this proceeding. ZIM should not be required to expend significant resources to locate documents without some showing that the documents sought are in fact relevant to Peloton's complaint in this proceeding.

CONCLUSION

For the above reasons, the Subpoena should be Quashed as overbroad and unduly burdensome to ZIM or, alternatively, modified so that it applies only to documents that Peloton can demonstrate are not available from Flexport.

To the extent that the Presiding Officer declines to grant this Motion to Quash in whole or in part, ZIM reserves the right to file a motion for a protective order pursuant to 46 C.F.R. 502.141(j) to protect against the public disclosure of any sensitive or confidential information it

may be required to produce, since it appears from the public docket that no confidentiality order is in place in this proceeding.

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" and last name "Rohde" clearly distinguishable.

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*Counsel for Zim Integrated Shipping
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Dated: March 17, 2025

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing was served upon the parties identified below by delivering the aforementioned document via email transmission this 17th day of March, 2025.

/s/Wayne Rohde

Wayne Rohde

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